

the ultimate low of the double top and applied those dates to the index and then checked performance. Notice how the average decline is significantly higher than that shown by the index.

Days to ultimate low. It takes just about 7 weeks for price to reach the ultimate low.

How many change trend? A trend change is a drop of more than 20%. Eve & Adam chart patterns fall short of the average (28%) for all bearish chart patterns. In other words, 27% of double tops will see price drop more than 20% after the breakout. The higher the number shown in the table the better I like the pattern.

Table 32.3 shows failure rates. How do you read this table? Let me give you a few examples. Suppose your total cost of trading is 5%. How many patterns will fail to drop more than that? Answer: 21% in bull markets. If you want to make an additional 10% above your cost (a total of 15%), how many double tops will fail see price drop more than 15%? Answer: 61%. That's a huge failure rate for such a small drop.

In the Trading Tactics section, we'll discuss the measure rule. Suppose it projects a decline from 10 to 8, or 20% in an Eve & Adam pattern you wish to trade. How many double tops will see price decline 20% in bull markets? Answer: 27% (73% will fail to decline more than 20%). Thus, the target of 8 seems like a dream, so make the target more conservative by picking one closer to 10.

Table 32.2 General Statistics

Description	Down Breakout
Number found	662
Reversal (R), continuation (C) occurrence	100% R
Average decline	−15%
Standard & Poor's 500 change	−4%
Days to ultimate low	50
How many change trend?	27%